most important article of export was its cotton textiles which were famous all over the world for their excellence and were in demand everywhere. India also exported raw silk and silk fabrics, hardware, indigo, saltpetre, opium, rice, wheat, sugar, pepper and other spices, precious stones, and drugs.

Since India was on the whole self-sufficient in handicrafts and agricultural products, it did not import foreign goods on a large scale. On the other hand, its industrial and agricultural products had a steady market abroad. Consequently, it exported more than it imported and its trade was balanced by import of silver and gold. In fact, India was known as a sink of precious metals.

Historians differ on the state of internal and foreign trade during the pre-colonial period of the eighteenth century. According to the dominant view, constant warfare and disruption of law and order in many areas during the eighteenth century harmed the country's internal trade. Many trading centres were looted by the contestants for power and by foreign invaders. Many of the trade routes were infested with organised bands of robbers, and traders and their caravans were regularly looted. Even the road between the two imperial cities, Delhi and Agra, was made unsafe by the marauders. Moreover, with the rise of autonomous provincial regimes and innumerable local chiefs, the number of custom houses or *chowkies* grew by leaps and bounds. Every petty or large ruler tried to increase his income by imposing heavy customs duties on goods entering or passing through his territories. All these factors had an injurious effect on long-distance trade. The impoverishment of the nobles, who were the largest consumers of luxury products in which trade was conducted, also injured internal trade. Other historians believe that the effect of political changes and warfare on internal trade has generally been exaggerated. The impact on foreign trade was also complex and differential. While sea trade expanded, overland trade through Afghanistan and Persia was disrupted.

Political factors which hurt trade also adversely affected urban industries. Many prosperous cities, centres of flourishing industry, were